

turned down in at least three thousand other places before landing on his desk. He was also aware that the other businessmen with strong domain knowledge had turned it down. The business plan claimed that the sector was underserved by the existing players. All weekend long he tried calling the other major discount airlines flying that route but could never get through.¹

His conclusion was that they either were lousy businessmen or were overwhelmed by demand—which meant that there was an opportunity to start competing against them. He also changed the original business plan significantly—opting for a unique dual-class service.

He thought about it carefully all weekend long. On Monday, he went to his partners and senior executives at the music business and told them of his interest in starting the airline. They told him, “Richard, you’ve got to be off your rocker.” They told him he’d need a 747 jumbo jet, the most expensive plane around. And they asked, “Do you know what that costs?” They told him they had no interest and did not support this wild idea.

Branson persisted. He called directory assistance in Seattle to get the main number for Boeing. When the receptionist answered, he said that he’d like to talk to someone about leasing a 747 jumbo jet. After he was transferred several times, he got to what seemed like the right person and asked if Boeing had an old jumbo lying around? The guy said they did, and Branson asked if they would consider doing a one-year lease. The Boeing employee, likely amused by the British accent, said that they have a small list of customers but they might consider doing such a lease with one of their regular customers. Branson persisted and asked for some numbers.²

Boeing gave him some ballpark numbers, and Branson figured out that his total outlay and maximum liability for starting Virgin Atlantic Airlines (if it failed) was just \$2 million. His record company was on track to earn \$12 million that year and \$20 million the next year.

Branson noted that in the airline business with a single plane, he would pay for the fuel 30 days after the airplane landed and for staff wages 15 to 20 days after the airplane landed, but he would get paid for all the tickets about 20 days *before* the plane took off. Working capital needs in this